



Gavin Newsom, Governor
State of California
Health and Human Services Agency
DEPARTMENT OF MANAGED HEALTH CARE
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www.DMHC.ca.gov

April 17, 2026

VIA ELECTRONIC MAIL

Karen Choate
Blue Cross of California
1121 L Street, Suite 500
Sacramento, CA 95814

Re: Approval
Proposed Contract Termination with O'Connor Hospital
Block Transfer Filing No. 2026-HOSP-277
Filed on March 18, 2026

Dear Karen Choate:

The Department of Managed Health Care (Department) has reviewed the information in the above-referenced Block Transfer Filing (Filing) submitted by **Blue Cross of California** (Plan) for compliance with the requirements of the Knox-Keene Health Care Service Plan Act of 1975, as amended (Cal. Health & Safety Code § 1340 *et seq.*) and the regulations promulgated thereunder (Cal. Code Regs., Tit. 28, § 1000 *et seq.*).

In the event of contract termination, the Filing proposes to remove **O'Connor Hospital** (Terminating Hospital) from the Plan's hospital network. The effective date of contract termination between the Terminating Hospital and the Plan (Termination Date) is currently **July 1, 2026**.

The Plan proposes to redirect affected enrollees to the following Alternate Hospitals:

- El Camino Health
- El Camino Hospital Los Gatos
- Good Samaritan Hospital - San Jose
- Lucile Packard Children's Hospital Stanford
- Washington Hospital - Fremont

Based on the Plan's representations and information provided through the review process, the Department hereby **approves** the Plan's Filing, subject to the following:

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1. No later than five (5) calendar days after the Termination Date, the Plan shall provide written notice to **each enrollee who has an upcoming procedure authorized or scheduled at the Terminating Hospital within the next six months**, as well as **those who had accessed the Terminating Hospital at least once during the past year**, subject to any waivers granted by the Department.

In addition, no later than five (5) calendar days after the Termination Date, the Plan shall provide written notice to all PPO enrollees living within 15 miles of the terminating hospital. The Plan may send this notice electronically if enrollees elect to receive electronic notification.

2. The Plan shall ensure the medical groups that do **not** utilize the Terminating Hospital as a primary hospital, but have admitted enrollees for the most recently completed calendar year, are able to refer their enrollees to other hospitals within the Plan's network for services comparable to those provided by the Terminating Hospital.
3. The Plan shall ensure, with respect to enrollees who are approved to receive Completion of Covered Services from the Terminating Hospital, that the copay, deductible, percentage coinsurance or any other cost sharing component for such care is no greater than the financial responsibility the enrollee would have had if he or she received the services from the Terminating Hospital prior to the Termination Date. (See Cal. Health & Safety Code § 1373.96.).
4. If, after the above enrollee transfer notices are sent, the Plan reaches an agreement with the Terminating Hospital, the Plan must promptly inform the Department and convey an additional enrollee notification to each affected enrollee in accordance with the requirements set forth in Cal. Code Regs., Tit. 28, § 1300.67.1.3(f).
5. In the event that the effective date of removal of the Terminating Hospital from the Plan's network is delayed by **90** or more days, this approval shall no longer be effective, unless the Plan requests an extension of this Approval and the Department grants the Plan's request.
6. If the Plan determines that information submitted in this Filing is materially incorrect, it will promptly notify the Department. The Plan must also promptly notify the Department of any changed circumstances or new information that is material to this Filing.
7. The Department reserves the right to revoke, modify or terminate this approval at any time based upon changed circumstances or new information that is material to the filing, or for non-compliance by the Plan with any of the Conditions listed above. The issuance of this decision by the Department is not, nor should it be considered to represent, an express or implied approval of an Alternative Access

standard (with respect to either hospital access or primary care provider access)
for any ZIP code located within the Plan's approved service area.

Please contact me if there are any questions regarding the above.

Sincerely,

A handwritten signature in cursive script that reads "Christopher Loyd".

Christopher Loyd
Supervisor I
Office of Plan Monitoring